

Ch. 2

Business Ethics and Social Responsibility

2.1 General Concepts of Business Ethics

1- Ethics and Morality

Ethics: Principles of right and wrong behavior, especially in a **professional or organizational** context.

Morality: **Personal beliefs** about right and wrong shaped by culture, religion, and upbringing. تنشئة

Business ethics = applying moral principles to business situations.

2- Legal vs. Ethical Standards

Legal : What is required by law.

Ethical : What is morally right, even beyond the law.

Example: Dumping toxic waste رمي النفايات السامة might be legal in some countries, but it's unethical.

2.2 How Individuals Develop Their Personal Codes of Ethics

Sources of Personal Ethics:

- 1- **Family & Upbringing** تنشئة: early values and morals.
- 2- **Culture & Religion:** beliefs that shape views of fairness, honesty.
- 3- **Education & Training:** exposure to ethical standards in school and work.
- 4- **Peers** الأقران **& Social Influence:** coworkers, friends, society.
- 5- **Personal Experiences:** life lessons, role models, successes/failures.

2.3 Importance of Ethics in the Workplace

- 1- Builds trust with employees, customers, and investors.
- 2- Prevents legal issues (fraud الاحتيال , discrimination الواسطة , corruption الفساد).
- 3- Promotes fair treatment and equality in the organization يعزز.
- 4- Improves reputation and brand loyalty الولاء.
- 5- Encourages long-term sustainability of the business.

2.4 Social Responsibility of Business

Social Responsibility: The obligation التزام of a business to act in ways that serve society as well as the company's stakeholders.

Social Responsibility include:

- 1- **Environmental Protection:** reducing pollution, sustainable practices.
- 2- **Employee Well-being** رفاهية: fair wages, safe workplace, training.
- 3- **Community Involvement:** donations, volunteering, local development.
- 4- **Fair Business Practices:** avoiding corruption, being transparent.

2.5 Fundamental Values in Business Ethics

- 1- Integrity نزاهة → honesty in all actions
- 2- Fairness → equal and just treatment
- 3- Accountability المساءلة → taking responsibility
- 4- Transparency → open and truthful communication
- 5- Respect → valuing stakeholders' rights
- 6- Compliance إذعان → following laws and rules
- 7- Corporate Social Responsibility → contributing to society
- 8- Sustainability → protecting future generations

2.6 Social Responsibility Toward Customers

Businesses must protect and respect consumers by:

- 1- **Providing Safe Products:** ensuring quality and safety.
- 2- **Offering Fair Prices:** not exploiting استغلال customers.
- 3- **Truthful Advertising:** avoiding misleading مضلة claims.
- 4- **Protecting Consumer Rights:** privacy, complaint handling.
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- 5- **Customer Service & Support:** ensuring satisfaction after purchase.